UNITED STATES SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the Fiscal Year Ended June 30, 2024

MICROSOFT CORPORATION

One Microsoft Way, Redmond, Washington 98052-6399

Trading Symbol: MSFT (Nasdaq Global Select Market)

PART I

Item 1. Business

Microsoft Corporation develops and supports software, services, devices, and solutions that deliver new value for customers and help businesses realize their full potential.

Our operations are organized into three segments:
1. Productivity and Business Processes (Office, LinkedIn, Dynamics)
2. Intelligent Cloud (Azure, Windows Server, GitHub)
3. More Personal Computing (Windows, Devices, Xbox and gaming)

Item 1A. Risk Factors

Our operations are subject to diverse risks:
- Intense Competition in Cloud & Artificial Intelligence.
- Cybersecurity and cloud tenant data protection.
- Large capital expenditures for AI datacenters.

PART II

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Executive Overview

Fiscal year 2024 was marked by strong commercial cloud momentum and operational discipline. Total revenue grew to $245,122 million, representing a 15.7% increase compared to fiscal year 2023 ($211,915 million).

Operating income increased 23.9% to $109,640 million, driven by operating leverage in Intelligent Cloud.

Consolidated Statements of Income

(In millions, except per share amounts)

For the Fiscal Year Ended June 30,	2024	2023
Revenue	$245,122	$211,915
Cost of revenue	74,102	65,863
Gross profit	171,020	146,052
Operating expenses:		
Research and development	29,510	27,195
Sales and marketing	24,420	22,759
General and administrative	7,450	7,575
Total operating expenses	61,380	57,529
Operating income	109,640	88,523
Other income, net	2,340	1,025
Income before income taxes	111,980	89,548
Provision for income taxes	23,844	17,187
Net income	$88,136	$72,361